

THE DUTIES OF TRUSTEES OF RENEWABLE LEASEHOLDS.

UPON this head we propose — I. To examine the preliminary question, in what cases the obligation to renew is imposed by the settlement. II. To inquire in what manner the trustees are to levy the fines payable upon the renewals.

I. In what cases the obligation to renew is imposed by the settlement.¹

1. **Settlement of leaseholds does not per se imply a direction to renew.** — It might naturally be supposed, that, from the very circumstance of the leaseholds being of a renewable character, a settlement of them to several persons in succession would *per se* imply a right in the remainderman to call upon the tenant for life to contribute to the fine (*a*); and indeed Lord Thurlow, in the instance of a lease which had not previously been treated as renewable, observed, “The cases in which the *nature of the estate* or the will of the testator compels a renewal, appear not to apply to the present: where there is *no such custom*, or direction, it is in the discretion of the tenant for life to renew or not” (*b*). However, it seems to be now established generally, that, in a device of renewable leaseholds *without the interposition of a trustee*,

(*a*) See *White v. White*, 4 Ves. 32.

(*b*) *Nightingale v. Lawson*, 1 B. C. C. 443.

¹ *Renewal of leases.* — In America there are no fees or fines attending either the making or the renewal of leases, so that much of what is important in England in reference to leases is of no consequence here. The right to renew a lease is capable of sale and conveyance; *Anderson v. Lemon*, 8 N. Y. 236; *Phyfe v. Wardell*, 5 Paige, 268. The trustee must renew a lease, if at all, for the benefit of the trust estate, and he cannot take it in his own name, and for his own advantage, even if it is impossible to get it for the benefit of the trust; *Galbraith v. Elder*, 8 Watts, 81; *Holridge v. Gillespie*, 2 Johns. Ch. 33; *Fisk v. Sarber*, 6 Watts & S. 18; *M’Clanahan v. Henderson*, 2 A. K. Marsh. 388; and if they do renew in any name, it inures to the benefit of the trust; *Van Horne v. Fonda*, 5 Johns. Ch. 388; *Smiley v. Dixon*, 1 Pa. 439.